

ask about their fees, their minimum investment amounts, their rules and how to set up the bonds.

Where should you invest the money?

After you've selected your bond provider, you'll need to choose where you want your money to be invested, just like in your super fund.

My advice?

Since you're investing for 10 years or more, you'll want to invest 100 per cent into shares. This option will usually have 'shares' in the name, though providers often use more fancy names, like 'Specialist Australian Shares'. If you're unsure, check the product disclosure statement or give them a ring.

And one more thing on bonds: all bonds have a number of rules, so check the fine print before you invest, or talk to a licensed financial advisor who can explain it to you.

How much should you invest?

It's totally up to you, and how much you think you'll need . . . and how many bloody ladders you'll need to put up!

There are minimum amounts you'll need to start an investment bond, which vary (from \$100 up to \$1000). After that, you can set up an automatic savings plan (say \$100 a month, which is \$1200 for the year). It varies by bond provider though, so it pays to call them up and ask.

The key with investment bonds is to make the plan automatic. What matters most of all is that you start . . .